

Member ID: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115) **NATIONAL 2023**

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (39 points)

Problem 1: Equity Transactions _____ (68 points)

Problem 2: Statement of Cash Flows _____ (50 points)

Problem 3: Bonds _____ (48 points)

TOTAL POINTS _____ ***(235 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

You will have 90 minutes to complete your work. The test is divided into two parts, and you **MUST** complete both parts.

PART ONE Instructions: Objective Questions

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Post-Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Short Answer Problems

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Which of the following types of stock has less investment risk?
 - A. Common stock
 - B. Par value stock
 - C. No-par stock
 - D. Preferred stock

2. When a stockholder contributes a building to a corporation in exchange for stock, _____.
 - A. Assets increase and stockholders' equity increases
 - B. Assets increase and stockholders' equity decreases
 - C. Assets decrease and stockholders' equity increases
 - D. Assets decrease and stockholders' equity decreases

3. Which of the following is NOT a reason for which a company may purchase treasury stock?
 - A. To avoid a takeover by an outside party by increasing the number of outstanding shares that have voting rights
 - B. To increase net assets by buying low and selling high
 - C. To support the company's stock price
 - D. To reward valued employees with stock

4. The portion of stockholders' equity that cannot be used for dividends is _____.
 - A. Retained earnings
 - B. Net income
 - C. Cumulative capital
 - D. Legal capital

5. Which of the following is true of a stock split and a stock dividend?
 - A. A stock split will increase total stockholders' equity, but a stock dividend will not
 - B. Neither a stock split nor a stock dividend will increase total stockholders' equity
 - C. A stock dividend will increase total stockholders' equity, but a stock split will not
 - D. A stock split will decrease retained earnings, but a stock dividend will not

6. Felton Company uses the indirect method to prepare its statement of cash flows. Refer to the following information for 2023:

- The beginning balance in the Cash account was \$2,700.
- Net cash provided by operating activities: \$41,500
- Net cash used for investing activities: \$(26,500)
- Net cash provided by financing activities: \$1,700

The statement of cash flows will show _____.

- A. Ending cash of \$16,700
 - B. Net income of \$41,500
 - C. Net cash provided by investing and financing activities \$(16,700)
 - D. Ending cash of \$19,400
7. Lewis, Inc. owed one of its creditors \$350,000, but it did not have enough cash to repay the debt. Following lengthy negotiations, the parties agreed that Lewis, Inc. would issue 50,000 shares of common stock to settle the debt. On the statement of cash flows, this transaction is shown in the _____.
- A. Investing activities section
 - B. Financing activities section
 - C. Operating activities section
 - D. Non-cash investing and financing activities section
8. Beginning Accounts Receivable is \$4,300, ending Accounts Receivable is \$5,700, Interest Revenue on the income statement is \$3,000, beginning Interest Receivable is \$430, ending Interest Receivable is \$240, and Net Sales Revenue is \$32,000. What is the cash receipts from customers?
- A. \$19,000
 - B. \$29,190
 - C. \$30,600
 - D. \$30,790
9. The annual interest payment on bonds:
- A. Increases over the life of the bonds when bonds are issued at a discount
 - B. Decreases over the life of the bonds when bonds are issued at a discount
 - C. Stays constant over the life of the bonds, regardless of whether bonds are issued at par, a discount, or a premium
 - D. Increases over the life of the bonds under the effective-interest method, but stays constant under the straight-line method of amortization

10. The account entitled Premium on Bonds Payable:
- A. Increases when amortization entries are made
 - B. Appears on the balance sheet of the issuer as a deduction from bonds payable
 - C. Decreases when amortization entries are made and its balance is equal to zero at the maturity date of the bond
 - D. Is a contra account with a normal debit balance
11. Which of the following misstatements would cause the debt-to-assets ratio to be overstated?
- A. Capitalizing costs that should have been expensed as assets
 - B. Failing to adjust for depreciation in the current period
 - C. Failing to accrue income taxes of the current period
 - D. Failing to accrue interest earned of the current period
12. If Company A has a debt-to-assets ratio of 0.73 while Company B has a debt-to-assets ratio of 0.45, which of the following statements is correct?
- A. Stockholders own a smaller proportion of Company A than Company B
 - B. Company A must make less profit than Company B
 - C. Creditors own a smaller proportion of Company A than Company B
 - D. Company A must have fewer assets than Company B
13. When the effective-interest method of amortization is used, what happens to interest expense as a bond moves toward maturity?
- A. Interest expense falls for bonds sold at either a discount or a premium
 - B. Interest expense rises for bonds sold at a discount and falls for bonds sold at a premium
 - C. Interest expense rises for bonds sold at either a discount or a premium
 - D. Interest expense falls for bonds sold at a discount and rises for bonds sold at a premium
14. Which of the following statements about Accumulated Other Comprehensive Income (Loss) is not correct?
- A. Accumulated Other Comprehensive Income (Loss) reports unrealized gains and losses, which are temporary changes in the value of certain assets and liabilities the company holds
 - B. Accumulated Other Comprehensive Income (Loss) can relate to pensions, foreign currencies, and financial investments
 - C. Accumulated Other Comprehensive Income (Loss) is a component of stockholders' equity
 - D. Accumulated Other Comprehensive Income (Loss) is reported on the income statement

15. With bonds, the total interest expense over the life of the bonds is _____.
 A. The same amount with either the straight-line amortization method or effective-interest amortization method
 B. A larger amount with the straight-line amortization method compared to the effective-interest amortization method
 C. A larger amount with the effective-interest amortization method compared to the straight-line amortization method
 D. A larger amount for the effective-interest amortization method compared to the straight-line amortization method but only on callable bonds

Short Answer

1. Wright Company has net income of \$750,000 and 100,000 shares of common stock outstanding. The company is considering a project that requires \$330,000 and is considering two options:
- Option 1 is issue \$330,000 of 3% bonds payable.
 - Option 2 is to issue an additional 200,000 shares of common stock for \$330,000.
- The additional project will increase income before interest and taxes by \$530,000 each year. The company estimates income tax expense to be 40%.

What would be the earnings per share of Option 1?	
What would be the earnings per share of Option 2?	

2. At the end of the current year, the bond accounts of Fiennes Services showed the following balances:

Bonds Payable	\$60,000 credit balance
Discount on Bonds Payable	3,100 debit balance

The bonds were retired early for \$54,500. What is the journal entry to record the retirement of the bonds?

Will Ronald record a gain or loss on retirement of the bonds?	
How much will the gain or loss be?	

3. Coltrane, Inc. had the following transactions in 2023, its first year of operations:

- Issued 8,000 shares of common stock. Stock has par value of \$0.01 per share and was issued at \$40.00 per share.
- Earned net income of \$300,000.
- Paid dividends of \$12.00 per share.

At the end of 2023, what is total stockholders' equity?	
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4. Bonham Inc. has 43,000 shares of common stock outstanding and 2,000 shares of preferred stock outstanding. The common stock is \$6.00 par value; the preferred stock is 10% noncumulative with a \$100.00 par value. On October 15, 2023, the company declares a total dividend payment of \$40,000.

What is the amount of dividend that will be paid for each share of preferred stock?	
What is the amount of dividend that will be paid for each share of common stock?	

5. Radcliffe Corp. has 18,000 shares of 10%, \$60 par cumulative preferred stock outstanding and 29,000 shares of no-par common stock outstanding. Preferred dividends of \$16,500 are in arrears. At the end of the current year, the corporation declares a dividend of \$192,000.

What is the amount of dividend that will be paid for each share of preferred stock?	
What is the amount of dividend that will be paid for each share of common stock?	

6. Rupert Corporation reported the following equity section on its current balance sheet. The common stock is currently selling for \$15.50 per share.

Common Stock, \$13 Par, 119,000 shares authorized, 52,000 shares issued and outstanding	\$676,000
Paid-in Capital in Excess of Par—Common	154,000
Retained Earnings	<u>350,000</u>
Total Stockholders' Equity	<u>\$1,180,000</u>

What would be the total stockholders' equity after a 12% common stock dividend?	
What would be the balance in the Common Stock account after the issuance of a 12% stock dividend?	

7. Rickman Corporation reported the following equity section on its current balance sheet. The common stock is currently selling for \$20.50 per share.

Common Stock, \$5 par, 326,000 shares authorized, 151,000 shares issued and outstanding	\$755,000
Paid-In Capital in Excess of Par—Common	131,000
Retained Earnings	306,000
Total Stockholders' Equity	\$1,192,000

After a 2-for-1 stock split, what is the number of issued shares?	
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8. Evanna Corporation's contributed capital totals \$54,000, Retained Earnings equals \$117,000, Treasury Stock equals \$32,400, and Common Stock equals \$18,000. The company does not have any accumulated other comprehensive income (loss), stockholders' equity.

What is the total amount of stockholders' equity?	
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Problem 1 (68 Points)

Oldman Schools, Inc. is authorized to issue 500,000 shares of \$2 par common stock.

February 1	Issued 106,000 shares at \$6 per share
March 15	When the market price of common stock was \$10 per share, Charter declared and distributed a 10% stock dividend
April 3	Purchased 2,000 shares of the company's common stock as treasury stock, paying cash of \$10 per share. Assume this is the first time the company has purchased any treasury stock.
April 20	Sold 800 shares of the treasury stock for cash of \$11 per share.
May 28	Sold 500 shares of the treasury stock for cash of \$7 per share.
June 5	Paid a cash dividend of \$0.10 per share

Prepare the journal entries to record these transactions. Explanations are not required.

Date	General Journal	Debit	Credit

Problem 2 (50 Points)

Condensed financial data of Isaac Corporation appear below:

Isaac Corporation Comparative Balance Sheet December 31

	<u>Current Year</u>	<u>Prior Year</u>
Assets		
Cash	\$44,000	\$28,000
Accounts receivable	A	32,000
Inventories	B	70,000
Prepaid rent	2,500	2,000
Property, plant, and equipment	224,000	200,000
Accumulated depreciation	(55,000)	(40,000)
Total assets	<u>\$341,500</u>	<u>\$292,000</u>
Liabilities and Stockholders' Equity		
Accounts payable	\$38,000	\$34,000
Accrued liabilities	10,000	12,000
Notes payable (long-term)	130,000	150,000
Contributed capital	50,000	25,000
Retained earnings	<u>113,500</u>	<u>71,000</u>
Total liabilities and stockholders' equity	<u>\$341,500</u>	<u>\$292,000</u>

Isaac Corporation
Income Statement

Year Ended December 31

Sales			\$477,500
Expenses			
Cost of goods sold	\$290,000		
Selling, general, and administrative expenses	94,000		
Depreciation expense	C		
Interest expense	9,000		
Income taxes	<u>D</u>	<u>425,000</u>	
Net income	=	<u>\$ 52,500</u>	

Isaac Corporation
Cash Flow Statement
Year End December 31

Cash Flows from Operating Activities	
Net income	\$52,500
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation	15,000
Changes in current assets and current liabilities:	
Accounts Receivable	(4,000)
Inventories	(20,000)
Prepaid Expenses	E
Accounts Payable	4,000
Accrued Liabilities	<u>F</u>
Net cash provided by (used in) operating activities	<u>G</u>
Cash flows from investing activities	
Purchase of property, plant, and equipment	<u>(24,000)</u>
Net cash provided by (used in) investing activities	<u>(24,000)</u>
Financing activities	
Additional capital contributed by stockholders	H
Payments on long-term debt	(20,000)
Payment of cash dividends	<u>I</u>
Net cash provided by (used in) financing activities	<u>J</u>
Increase in cash and cash equivalents	16,000
Cash and cash equivalents, beginning of period	<u>28,000</u>
Cash and cash equivalents, end of period	<u>\$44,000</u>

A cash dividend was declared and paid in full to stockholders during the year.

Required:

Solve for the missing numbers and summarize your answers in the table below. Be sure to indicate in parentheses () if the missing number is negative (that is, a cash outflow).

A		C		E		G		I	
B		D		F		H		J	

Problem 3 (48 Points)

On January 1, 2023, M. Smith Advertising Company issued \$50,000 of six-year, 3% bonds when the market interest rate was 4%. The bonds were issued for \$47,356. Parker uses the effective-interest method of amortization for bond discount. Semiannual interest payments are made on June 30 and December 31 of each year. Prepare the amortization table for the first four interest payments. (Round your answers to the nearest cent.)

Date	Cash Paid	Interest Expense	Discount Amortized	Carrying Amount
6/30/23				
12/31/23				
6/30/24				
12/31/24				